SELLING A PEN FOR ₹6

Cost price: ₹5 | Profit: ₹1 per pen

A simple sales activity with profit and loss analysis



LEARN • SELL • CALCULATE • IMPROVE

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1. Understand the Product

KNOW YOUR COST

Original cost = ₹5 per pen



- **Product: One pen**
- **Original / purchase cost: ₹5**
- **Planned selling price: ₹6**

First, know what you are selling and how much it costs.

2. Set a Clear Selling Price

SET THE SELLING PRICE

Charge ₹6 for each pen



- Cost price = ₹5
- Selling price = ₹6
- Difference = ₹1 per pen
- Keep the price simple and communicate it clearly.

A price should cover cost and leave room for profit.

3. Understand the Customer's Need

UNDERSTAND THE CUSTOMER

A useful product solves a need



- Ask what the customer needs
- Explain practical benefits: writing, notes and daily use
- Be polite and answer questions honestly
- Focus on value—not only on price

Good selling starts with listening.

4. Promote the Product

PROMOTE THE BENEFIT

Explain why the pen is worth ₹6



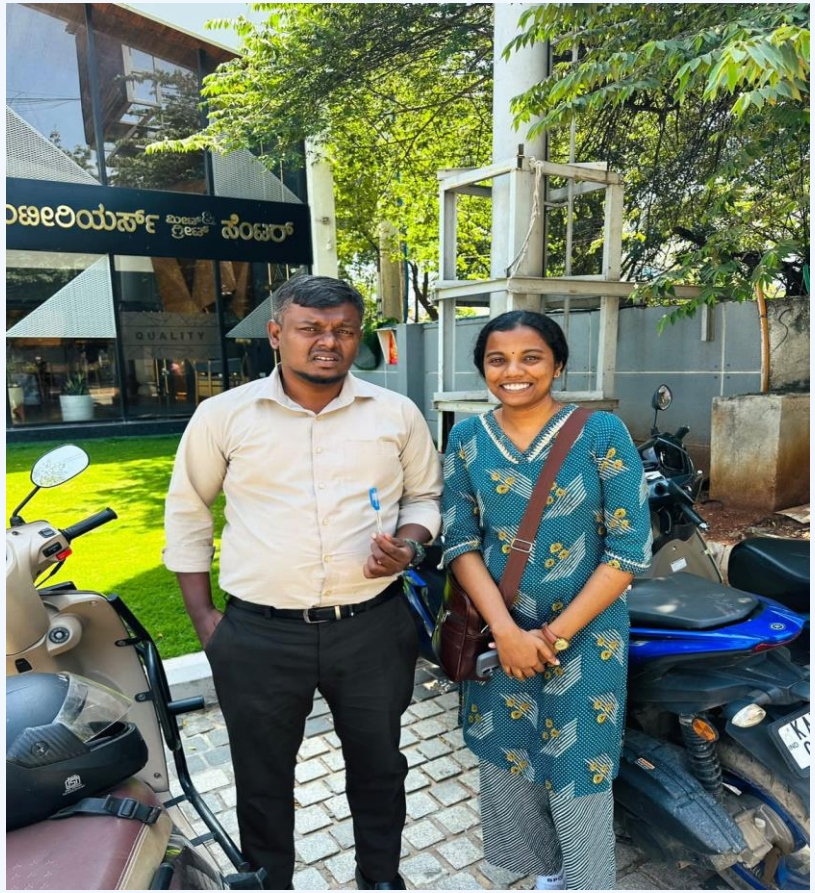
- Use a short, confident sales pitch
- Describe real benefits without exaggerating
- Make the price visible: ₹6
- Show how the pen can meet an everyday need

Clear communication helps customers make decisions.

5. Complete the Sale

MAKE THE SALE

A polite pitch builds trust



- Greet the customer respectfully
- Explain the price and benefits
- Listen to objections without arguing
- Thank the customer after the purchase

Trust and service are part of selling.

6. Profit Analysis

CALCULATE THE PROFIT

₹6 selling price – ₹5 cost = ₹1



- Selling price = ₹6
- Cost price = ₹5
- Profit = Selling price – Cost price
- Profit = ₹6 – ₹5 = ₹1 per pen
- Gross profit margin = ₹1 ÷ ₹6 × 100 = 16.67%

The ₹1 is gross profit before other expenses.

7. Profit and Loss Comparison

PROFIT OR LOSS?

Price decisions matter



- Sell at ₹6: ₹1 profit per pen
- Sell at ₹5: break-even before other expenses
- Sell at ₹4: ₹1 loss per pen

Never judge profit from selling price alone—include all costs.

8. Customer Feedback and Repeat Sales

LISTEN TO FEEDBACK

Good service can encourage repeat sales



- Ask whether the product met the customer's need
- Satisfied customers may recommend the product

Customer satisfaction supports long-term business.

9. What We Learn from This Activity

LEARN AND IMPROVE

Plan • Communicate • Calculate • Reflect



- Know the cost before setting a price
- Calculate profit and loss accurately
- Understand customer needs
- Communicate benefits clearly and honestly
- Build confidence, persuasion and negotiation skills
- Work as a team .
- Remember: profit per unit is small, so costs matter

Key lesson: A good salesperson creates value and understands the numbers.

SUMMARY OF FIELD ACTIVITY

COST	SELLING PRICE	GROSS PROFIT
₹5	₹6	₹1

Profit = ₹6 – ₹5 = ₹1 per pen

THANK YOU

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